

22GDCV00119 22GDCV00119

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[TENTATIVE] ORDER GRANTING IN PART MOTION TO ENFORCE THE STIPULATED PROTECTIVE ORDER and GRANTING SANCTIONS and GRANTING MOTION TO SEAL

I. INTRODUCTION

This matter arises from a dispute concerning the management and financial operations of Hyundai of Glendale, LLC. Defendant and Cross-Complainant Jae Park ("Park"), the dealership's former General Manager, is accused by Plaintiff and Cross-Defendant Hyundai of Glendale, LLC ("Hyundai") and Cross-Complainant Auto Holdings, LLC ("Auto Holdings") of engaging in fraudulent financial practices, including inflating revenues, misrepresenting financial data, and misappropriating funds.

On March 3, 2025, Park and his spouse, non-party Hollie Park, filed the instant motion to quash subpoenas directed to Chase Bank, Bank of America, and BMO Bank. Hyundai filed an opposition on March 24, 2025, and Park filed a reply on March 27, 2025.

On April 3, 2025, the Court granted Hyundai's ex parte application for leave to file supplemental evidentiary declarations in support of its opposition.

II. LEGAL STANDARD

Unless confidentiality is required by law, court records are presumed to be open to the public, pursuant to a potent "open court" policy undergirded by the First Amendment and favoring the public nature of court proceedings. (Cal. Rules of Court, rule 2.550(c); see NBC Subsidiary (KNBC-TV), Inc. v. Superior Court (1999) 20 Cal.4th 1178, 1199-10.) Consequently, pleadings, motions, discovery documents, and other papers may not be filed under seal merely by stipulation of the parties; filing under seal requires a court order.¹ (Cal. Rules of Court, rule 2.551(a); see H.B. Fuller Co. v. Doe (2007) 151 Cal.App.4th 879, 888.)

In order to issue a sealing order, the Court must make expressly find that: (1) there exists an overriding interest that overcomes the right of public access to the record; (2) the overriding interest supports sealing the record; (3) a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist to achieve the overriding interest. (Cal. Rules of Court, rule 2.550(d)(1)-(4), (e); see McGuan v. Endovascular Techs., Inc. (2010) 182 Cal.App.4th 974, 988.) The constitutional policy favoring for disclosure must be balanced against other factors, e.g., privacy rights. (See People v. Jackson (2005) 128 Cal.App.4th 1009, 1026-27.) The Court acts within its discretion in making factual determinations on a motion to seal. (Universal City Studios, Inc. v. Superior Court (2003) 110 Cal.App.4th 1273, 1285.)

A sealing order must be sought by means of a motion (or application) and accompanied by a memorandum of points and authorities, as well as evidence and testimony containing facts sufficient to justify the mandatory findings required to support a sealing order. (Cal. Rules of Court, rules 2.550(d) and 2.551(b).) The proponent of the sealing order must also conditionally lodge the unredacted matter to be sealed with the court. (Id., rule 2.551(b)(4).)

III. ANALYSIS

Park moves for an order enforcing the Stipulated Protective Order entered by the Court on October 28, 2024. Defendant argues Plaintiff violated paragraph 17 of the Protective Order and California Rules of Court, rule 2.551 by publicly filing confidential information in connection with Plaintiff's July 14, 2026, motion for summary adjudication. (Motion, pp. 1-4.) Paragraph 17 of the Protective Order provides that where confidential materials, or information derived from confidential materials, are included in a motion, the filing party must comply with Rules 2.550 and 2.551.

Specifically, Park argues that although Plaintiff conditionally lodged Exhibit B to the Cole Declaration under seal and filed a redacted public version, Plaintiff publicly filed its Memorandum of Points and Authorities, Separate Statement, and Cole Declaration without redacting information derived from Exhibit B, including destination-account information and the identity of a nonparty joint accountholder. (Motion, pp. 2-4.)

Park therefore asks the Court to find Plaintiff violated the Protective Order and Rule 2.551, require Plaintiff to file redacted versions of the three documents, and remove the unredacted versions from the public file. Park also seeks \$7,000 in monetary sanctions. (Motion, pp. 5-6.)

Plaintiff opposes the motion, arguing the failure to redact the information from the three supporting documents was inadvertent and has since been corrected. Plaintiff represents that on August 10, 2026, it filed Notices of Errata and corrected, redacted versions of the Memorandum, Separate Statement, and Cole Declaration. Plaintiff therefore argues the requested corrective relief is moot. (Opposition, pp. 2-5.)

Plaintiff also opposes sanctions, arguing Park did not contact Plaintiff before filing the motion and that Plaintiff would have corrected the filings had the issue been brought to its attention. Plaintiff maintains the \$7,000 requested was therefore unnecessary and should be denied. (Opposition, pp. 5-6.)

The Court finds that Plaintiff violated paragraph 17 of the Protective Order by publicly filing information derived from records that had been designated confidential and lodged conditionally under seal. Although Plaintiff filed a redacted version of Exhibit B, it did not similarly redact its Memorandum of Points and Authorities, Separate Statement, or Cole Declaration, each of which disclosed information derived from Exhibit B. Plaintiff does not dispute that the information should have been redacted, but maintains the omission was inadvertent. (Opposition, pp. 2-3.) Whether inadvertent or not, Rule 2.551(b)(3)(A) required Plaintiff to publicly file redacted versions of any documents disclosing the contents of the conditionally lodged records, and Rule 2.551(c) prohibited the publicly filed documents from disclosing such information.

Plaintiff subsequently filed corrected, redacted versions of the documents. Thus, to the extent Defendant seeks an order requiring Plaintiff to file redacted versions, that request is moot. However, the original July 14, 2026, unredacted versions remain in the public court record. Plaintiff cannot unilaterally remove or restrict public access to records already filed with the Court. Indeed, Plaintiff acknowledges that Court action remains necessary by requesting that public access to the superseded unredacted versions be restricted. (Opposition, p. 5.) Therefore, the motion is not moot to the extent Defendant seeks relief concerning the original unredacted filings.

Sanctions

Park also seeks \$7,000 in monetary sanctions, representing attorney fees and costs incurred in bringing the motion. Counsel states that her hourly rate is \$350, that she spent 10 hours preparing the motion and supporting papers, and anticipated spending an additional 10 hours reviewing the opposition, preparing the reply, and appearing at the hearing. (Kotik Decl., ¶ 11.)

The Court finds sanctions warranted based on Plaintiff's violation of the Protective Order. However, the Court finds the amount requested excessive and reduces the award to \$3,000, representing approximately 8.5 hours of attorney time at counsel's hourly rate of \$350. Defendant's request for monetary sanctions is therefore GRANTED in the reduced amount of \$3,000.

Motion to seal

Park applies for an order sealing portions of Exhibit B to the Cole Declaration, which Plaintiff lodged conditionally under seal in connection with its motion for summary adjudication. Specifically, Park seeks to seal: (1) pages 10-11, 18, 20, and 22-32, which are redacted in their entirety in the public version; (2) on pages 1-9 and 14-17, the account balances, deposits, withdrawals, and transaction details redacted from the public version; and (3) on pages 1, 3-6, and 14-15, the name and identifying information of the nonparty joint accountholder. (Notice, p. 2.)

Under California Rules of Court, rule 2.550(d), a record may be sealed only where the Court finds an overriding interest supporting sealing, a substantial probability of prejudice absent sealing, the sealing is narrowly tailored, and no less restrictive means exist.

The Court finds these requirements satisfied. Exhibit B contains private financial information belonging to Park and a nonparty joint accountholder, including account balances and detailed financial activity. The nonparty is not involved in this action and has had no opportunity to be heard. (Kotik Decl., ¶¶ 5-8.) The privacy interest in this financial information constitutes an overriding interest supporting sealing, and there is a substantial probability that the interest would be prejudiced if the information were publicly disclosed.

The request is also narrowly tailored. Park seeks to seal only the unrelated financial information and identifying information at issue. (Application, p. 3.) The Court finds no less restrictive means of protecting these privacy interests.

Thus, the Court finds the requirements of Rule 2.550(d) satisfied and GRANTS Park's application to seal the specified portions of Exhibit B.

IV. CONCLUSION AND ORDER

The Court GRANTS the motion in part. The Court finds that Plaintiff violated the Stipulated Protective Order by publicly filing confidential information in its Memorandum of Points and Authorities, Separate Statement of Undisputed Material Facts, and Declaration of Kevin J. Cole. Because Plaintiff filed corrected, redacted versions of those documents on August 11, 2026, no further corrective filing is required.

The Court orders that the original unredacted versions filed on July 14, 2026, be removed from public access and maintained under seal. The Court further GRANTS Defendant's request for monetary sanctions in the reduced amount of \$3,000, payable within 30 days of this order.

The Court GRANTS Park's motion to seal.

Park is to give notice.

Dated: August 31, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT